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China Property | Asia Pacific

1H26 Preview: Weak Earnings amid Further Margin Squeeze

Developers could report another set of weaker-than-expected results for 1H26, with a 40-50% y-y EPS decline on average amid reduced revenue booking and prolonged deterioration in DP margins. Outlooks for 2H pre-sales, margin, and recurring income will be key.

Key Takeaways

- We expect declines of >20% in revenue and >40% in EPS y-y for our coverage amid reduced sales and ~2ppt GPM compression in DP business.
- DP margin could surprise to the downside with continued home price declines and still deep asset impairment, leading consensus for 2026-28 to drop.
- Slow recovery in POE balance sheets given challenging property sales, but SOEs could show lower leverage because of less landbanking in 1H.

We see weaker-than-expected 1H26 earnings (Exhibit 1):

- 0-10% declines: CR Land (large disposal gain offsets DP GPM compression) and C&D (higher GPM offsets revenue decline).
- 10-25% declines: COLI (stable revenue but lower GPM), Jinmao (less disposal gain), and Seazen A/H (reduced DP booking).
- 50-100% declines: Poly, Longfor, CMSK, Yuexiu, and Greentown (all owing to notably lower DP GPM)
- Deep losses: Vanke, Gemdale (owing to large DP losses and asset impairment).
- Profit warnings: Poly, Longfor, Greentown, and Yuexiu, on top of announced players (Vanke, CMSK, and Gemdale).

What to watch next: 1) Pre-sales outlook – we expect most players to tone down full-year sales growth targets despite low bases in 2H. 2) Margin pressure and asset impairment risk owing to continued home price declines. 3) Recurring income outlook – strong mall retail sales in 2H25 present a high base. 4) Refinancing/interest-saving plans of POEs/semi-SOEs.

Stay selective: Considering potentially weaker property sales in 3Q and limited policy upside, we continue to suggest sticking with quality players with credible self-help alpha. We think *CR Land* (1109.HK), *C&D* (1908.HK), and *Seazen* (601155.SS/1030.HK) offer more attractive risk-reward at current valuations. We upgrade *Jinmao* (0817.HK) to OW for its improving pre-sales outlook (y-y may accelerate in 3Q); current valuation has largely priced in short-term earnings headwinds.

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CHINA PROPERTY

Asia Pacific

Industry View

In-Line

WHAT'S CHANGED

China Jinmao Holdings Group

Ltd (0817.HK)

Rating

From

Equal-weight

To

Overweight

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1. June-26 AlphaWise Survey: Better Sentiment, but Still Limited Home Purchase Plans (14 July 2026)
2. An Inflection or Another False Start? (18 May 2026)
3. Weakening Indicators may Lead to Faster Home Price Declines (1 July 2026)

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Preview to earnings

Focus KPI	Focus KPI Surprise	Likely impact to consensus EPS*
C&D International Investment Group Ltd 1908.HK		
Development gross margin	↑ Very likely upside surprise	↓ Modest revision lower
1H core profits likely to fall ~10% y-y owing to reduced DP booking, but gross margin likely to beat market expectation at ~15% (vs. 12.9% in 1H25 and 13.9% in 2025). - Balance sheet may improve further with lower leverage (partially because of limited landbanking in 1H), reduced completed inventory, and lower share of legacy projects.		
China Jinmao Holdings Group Ltd 0817.HK		
Development gross margin	— In-line	↓ Modest revision lower
1H core profits may drop >20% y-y owing to reduced disposal gains, but development margin may remain stable given decreasing drag from legacy projects. - Pre-sales growth could notably accelerate in 3Q given abundant saleable resources (11-12 brand new projects) and low base.		
China Merchants Shekou Industrial Zone 001979.SZ		
Development gross margin	↓ Likely downside surprise	↓ Meaningful revision lower
CMSK already issued a profit warning, with 1H core profits potentially dropping >90% y-y because of notable compression in development margin despite stable revenue.		
China Overseas Land & Investment Ltd. 0688.HK		
Development gross margin	↑ Likely upside surprise	↓ Modest revision lower
1H core profits to drop 10-15% y-y amid mild revenue decline and ~1ppt lower gross margin - Impairment on offices (non-core) may lead to deeper decline in reported earnings. - DP margin outlook may remain weak given limited asset impairment provisions.		
China Resources Land Ltd. 1109.HK		
Development gross margin	↓ Very likely downside surprise	↓ Modest revision lower
- Development gross margin may compress 4-5ppt y-y owing to booking of low-margin projects and larger asset impairment impact on reduced booking. 1H core profits may remain stable. The large disposal gain (we estimate >Rmb3bn) could largely offset the decline in development profit. - Recurring profits may grow 10-15% y-y thanks to robust mall rental income despite the spin-off of select malls to REITs.		
China Vanke Company Ltd. 000002.SZ		
Debt repayment and refinancing plans	— In-line	↓ Meaningful revision lower
- Vanke already issued a profit warning, with a potential core loss of ~Rmb15bn owing to deep development loss and asset impairment. - Liquidity risk may remain high, with net gearing ratio likely exceeding 130% (vs. 111% in 2025). - Large-scale refinancing plan is still not in sight, and continued funding support from SZ Metro may extend into 2027.		
Gemdale Corporation 600383.SS		
Development gross margin	↓ Likely downside surprise	↓ Meaningful revision lower
- Gemdale already issued a profit warning, with a potential core loss of ~Rmb3bn in 1H owing to deep development loss and asset impairment. - Pre-sales outlook may turn more challenging in 2H given further depleted landbank and weakening physical market.		
Greentown China Holdings 3900.HK		
Destocking progress on legacy inventory	↓ Likely downside surprise	↓ Meaningful revision lower
1H core profit may drop >95% y-y owing to reduced booking, lower development margin, and larger asset impairment. - Destocking progress of old inventory is key to watch, but likely to be slower than market expects owing to low sell-through of these projects.		

Focus KPI	Focus KPI Surprise	Likely impact to consensus EPS*
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- Appointment of new CEO is another key to watch because this could have deep implications for the company's pre-sales and earnings in the next 6-12 months.

Longfor Group Holdings Ltd. 0960.HK

Development gross margin — In-line ↓ Meaningful revision lower

- 1H core profits may drop >95% y-y owing to deeper loss of development business (-10% GPM for DP).
- Recurring income growth may remain subdued in 2H (though it may be faster than 1H because of a lower base) given the challenging retail sales outlook.
- Timing of earnings returning to positive territory may be delayed to 2028. It depends greatly on the progress of digestion of its development loss.

Poly Developments and Holdings Group 600048.SS

Development gross margin ↓ Likely downside surprise ↓ Meaningful revision lower

- 1H core profits may fall >50% y-y owing to reduced booking and lower development margin.
- Destocking progress of old inventory is key to watch.

Seazen Group Ltd 1030.HK

Refinancing plan and savings on interest expenses — In-line ↓ Modest revision lower

- 1H core profits may drop 10-15% y-y owing to reduced booking and subdued rental income growth.
- Rental income growth may remain challenging in 2H given the weak retail sales outlook.
- Progress of C-REIT spin-off could add upside potential to its liquidity condition and reduce interest expenses.

Seazen Holdings Company Ltd. 601155.SS

Refinancing plan and savings on interest expenses — In-line ↓ Modest revision lower

- 1H core profits may drop 10-15% y-y owing to reduced booking and subdued rental income growth.
- Rental income growth may remain challenging in 2H given the weak retail sales outlook.
- Progress of C-REIT spin-off could add upside potential to its liquidity condition and reduce interest expenses.

Yuexiu Property Co Ltd 0123.HK

Development gross margin ↓ Likely downside surprise ↓ Meaningful revision lower

- 1H core profits may drop >50% y-y owing to reduced booking and lower development margin.
- YTD decline on pre-sales may narrow to single digits (%) y-y in 3Q (vs. -18% in 1H26) amid more project launches and against a low base.

*Likely impact to consensus EPS is for the next 12 months
Source: Company data, Morgan Stanley Research

1H26 Results Preview Snapshots

Exhibit 1: Summary of 1H26 results preview

Stock Ticker Type			Overall Comment Profit Warning		1H26 Results Preview														
					Revenue (Rmb mn)		Core Profits (Rmb mn)		Gross Margin					Dividend Payout		Net Gearing			
					1H25	1H26E Y-Y	1H25	1H26E Y-Y	1H24	FY24	1H25	FY25	1H26E	1H25	1H26E	1H25	FY25	1H26E	
C&D	1908.HK	SOE	Decent		34,165	40-45% decline	914	5-10% decline	11.9%	13.3%	12.9%	13.9%	14-15%	Nil	Nil	49%	53%	40-45%	
CMSK	001979.SZ	SOE	Weak	Issued	51,485	0-5%	772	>90% decline	11.1%	13.9%	13.4%	12.9%	7-8% (10-12% for DP)	Nil	Nil	56%	59%	55-60%	
COLI	0688.HK	SOE	Fair		83,219	0-5% decline	8,780	10-15% decline	22.1%	17.7%	17.4%	15.5%	~16% (~15% for DP)	29%	30%	28%	34%	30-35%	
CR Land	1109.HK	SOE	Good		94,921	15-20% decline	10,000	Flat	22.3%	21.6%	24.0%	21.2%	23-24% (~11% for DP)	37%	37%	38%	38%	35-40%	
Gemdale	600383.SZ	Semi	Weak	Issued	15,667	20-25% decline	(3,550)	~3bn loss	10.2%	14.4%	12.2%	12.3%	12-13% (~7% for DP)	Nil	Nil	54%	65%	70-75%	
Greentown	3900.HK	Semi	Weak	Yes	53,368	10-15% decline	177	>95% decline	13.1%	12.8%	13.4%	11.9%	9-10%	Nil	Nil	64%	66%	60-65%	
Jinmao	0817.HK	SOE	Fair		25,113	0-5% decline	795	20-25% decline	16.2%	14.6%	16.2%	15.5%	16-17% (12-13% for DP)	48%	40%	106%	113%	100-110%	
Longfor	0960.HK	POE	Weak	Yes	58,750	35-40% decline	1,380	>95% decline	20.6%	16.0%	12.6%	9.7%	11-12% (~10% for DP)	36%	30%	51%	52%	50-55%	
Poly	600048.SS	SOE	Weak	Yes	116,857	10-15% decline	2,579	>50% decline	15.4%	13.3%	14.0%	12.2%	11-12% (~12% for DP)	Nil	Nil	62%	66%	60-65%	
Seazen A	601155.SS	POE	Fair		22,100	30-35% decline	947	10-15% decline	18.6%	19.9%	24.3%	25.5%	30-33% (~8% for DP)	Nil	Nil	54%	58%	55-60%	
Seazen H	1030.HK	POE	Fair		22,174	30-35% decline	766	10-15% decline	20.1%	16.8%	24.4%	23.3%	32-35% (7-8% for DP)	Nil	Nil	55%	59%	55-60%	
Vanke H	2202.HK	Semi	Weak	Issued	105,323	25-30% decline	(11,591)	~15bn loss	6.8%	8.1%	5.1%	0.5%	2-4% (-2% for DP)	Nil	Nil	86%	111%	>130%	
Yuexiu	0123.HK	SOE	Weak	Yes	47,574	15-20% decline	1,520	>50% decline	13.7%	10.5%	10.6%	7.8%	~9% (~8% for DP)	40%	40%	55%	56%	50-55%	
Median					20-30% decline		40-50% decline		15.4%	14.4%	13.4%	12.9%	12-13%			55%	59%	55-60%	

Note: * Jinmao's earnings are post-perpetual interest expenses.

Source: Company data, Morgan Stanley Research (E) estimates.

Order of Preference

Exhibit 2: China – Property – Order of preference

	CR Land 1109.HK	C&D Int. 1908.HK	Jinmao 0817.HK	Seazen A 601155.SS	Seazen H 1030.HK	Yuexiu 0123.HK	COLI 0688.HK	Longfor 0960.HK	CMSK 001979.SZ	Poly 600048.SS	Vanke H 2202.HK	Greentown 3900.HK	Gemdale 600383.SS	Vanke A 000002.SZ
Rating	Overweight	Overweight	Overweight	Overweight	Overweight	Overweight	Equal-weight	Equal-weight	Equal-weight	Equal-weight	Equal-weight	Underweight	Underweight	Underweight
Trading Currency	HKD	HKD	HKD	CNY	HKD	HKD	CNY	CNY	CNY	CNY	HKD	HKD	CNY	CNY
Price Target	42.60	19.30	1.79	20.60	2.88	4.43	15.00	8.20	7.03	5.51	2.45	7.15	1.10	2.15
Current Price	34.62	14.43	1.39	11.34	1.44	3.76	13.56	6.79	6.77	4.97	2.51	7.33	2.29	3.23
Upside/(Downside) (%)	23%	34%	29%	82%	100%	18%	11%	21%	4%	11%	-2%	-2%	-52%	-33%
Market Cap (in USD mm)	31,449	4,118	2,393	3,745	1,332	1,928	18,906	6,139	8,384	8,710	5,338	2,371	1,514	5,299
Avg 3M Daily Traded Vol (in USD mm)	116.9	14.8	11.5	34.1	5.4	5.6	64.1	21.0	80.0	107.7	8.2	11.8	28.2	70.6
Street View: Ratings														
Buy/Overweight	95%	100%	78%	100%	67%	91%	93%	70%	71%	74%	0%	100%	33%	25%
Hold/Equal-weight	5%	0%	11%	0%	17%	9%	7%	30%	21%	21%	17%	0%	17%	25%
Sell/Underweight	0%	0%	11%	0%	17%	0%	0%	0%	7%	5%	83%	0%	50%	50%
Bull Case Value	54.80	22.27	2.20	27.40	3.84	5.46	17.20	10.10	9.19	7.09	3.47	9.54	2.80	4.12
Upside (%)	58%	54%	58%	142%	167%	45%	27%	49%	36%	43%	38%	30%	22%	28%
Bear Case Value	24.40	11.88	1.10	13.70	1.92	3.07	10.70	5.10	4.86	3.94	1.43	4.77	0.68	1.25
Downside (%)	-30%	-18%	-21%	21%	33%	-18%	-21%	-25%	-28%	-21%	-43%	-35%	-70%	-61%
Risk/Reward Skew	2.0	3.1	2.8	0.0	-5.0	2.5	1.3	2.0	1.3	2.1	0.9	0.9	0.3	0.4
Morgan Stanley Estimates														
FY26e	CNY	CNY	CNY	CNY	CNY	CNY	CNY	CNY	CNY	CNY	CNY	CNY	CNY	CNY
Sales	224,075	107,291	62,689	39,162	39,123	84,156	157,506	79,609	145,574	233,793	189,433	127,492	23,603	189,433
EBITDA	46,794	7,927	8,056	8,521	8,064	3,773	18,284	1,245	15,641	15,780	(4,724)	9,785	(3,247)	(4,724)
EBIT	45,261	7,773	7,384	8,185	7,866	3,241	17,824	921	11,144	12,731	(15,302)	9,025	(3,587)	(15,302)
EPS	3.29	1.44	0.08	0.61	0.12	0.15	1.09	(0.39)	0.17	0.11	(2.82)	0.27	(1.60)	(2.82)
FY27e														
Sales	217,827	96,721	67,768	26,329	26,141	81,249	155,688	65,496	139,692	201,571	148,944	101,604	23,527	148,944
EBITDA	47,901	9,339	9,081	8,710	8,604	5,329	17,534	4,867	15,461	15,461	8,979	3,616	(1,867)	3,616
EBIT	46,364	9,185	8,409	8,374	8,407	4,797	20,841	4,543	12,969	12,411	(7,187)	8,219	(2,207)	(7,187)
EPS	3.50	1.63	0.12	0.79	0.16	0.39	1.17	0.08	0.27	0.23	(1.76)	0.60	(1.21)	(1.76)
FY26 MSe vs. Consensus Mean														
Sales	-9.8%	-13.4%	4.4%	-1.9%	-6.7%	6.0%	-5.1%	-7.4%	-0.5%	-5.4%	5.2%	-7.3%	-10.0%	6.7%
EBITDA	1.1%	-18.1%	6.9%	23.9%	5.7%	4.1%	-12.1%	-72.9%	21.9%	-9.0%	-1.3%	-0.9%	-490.6%	110.4%
EBIT	0.6%	-19.7%	16.1%	25.9%	5.5%	7.8%	-11.6%	-78.4%	7.2%	-20.4%	13.8%	-12.3%	-558.9%	301.0%
EPS	1.7%	-10.1%	-21.4%	26.4%	-19.1%	17.0%	-8.1%	-306.6%	-25.5%	-45.8%	53.9%	-11.2%	95.3%	68.4%
FY27 MSe vs. Consensus Mean														
Sales	-10.9%	-19.8%	9.3%	-16.4%	-25.6%	8.1%	-5.5%	-17.0%	-3.4%	-9.9%	-1.9%	-21.2%	-8.5%	-2.7%
EBITDA	-1.2%	-12.8%	11.1%	18.0%	30.6%	8.9%	-3.2%	-45.1%	35.7%	-7.5%	77.4%	-9.3%	-302.0%	31.5%
EBIT	-1.9%	-14.5%	20.8%	8.1%	-2.6%	45.8%	-2.6%	-43.5%	27.4%	-15.3%	-45.7%	-18.8%	-353.9%	120.5%
EPS	3.5%	-10.5%	-1.6%	19.7%	-16.5%	47.9%	-6.8%	-86.4%	8.3%	26.0%	10.4%	14.8%	108.1%	31.9%
Valuation Multiples at Last Close														
FY26e														
P/E	9.1x	8.7x	15.5x	18.7x	10.5x	21.4x	10.8x	-15.0x	39.3x	44.3x	-0.8x	23.8x	-1.4x	-1.1x
EV/EBIT	8.9x	11.5x	16.8x	10.9x	12.0x	32.7x	8.8x	251.2x	25.1x	23.1x	-22.8x	11.3x	-26.6x	-22.8x
EV/EBITDA	8.6x	11.3x	15.4x	10.5x	11.7x	28.1x	8.6x	185.7x	17.9x	18.6x	-73.8x	10.4x	-29.4x	-73.8x
EV/Sales	1.8x	0.8x	2.0x	2.3x	2.4x	1.3x	1.0x	2.9x	1.9x	1.3x	1.8x	0.8x	4.1x	1.8x
FY27e														
P/E	8.6x	7.7x	10.5x	14.4x	7.7x	8.4x	10.0x	72.4x	24.9x	21.7x	-1.2x	10.7x	-1.9x	-1.8x
EV/EBIT	7.9x	4.8x	11.3x	10.7x	11.3x	49.7x	4.5x	49.7x	17.2x	17.9x	-44.1x	10.8x	-41.6x	-44.1x
EV/EBITDA	7.7x	4.7x	10.4x	10.3x	11.0x	11.0x	4.4x	46.4x	12.7x	14.4x	87.6x	9.8x	-49.2x	87.6x
EV/Sales	1.7x	0.5x	1.4x	3.4x	3.6x	0.7x	0.6x	3.4x	1.6x	1.1x	2.1x	0.9x	3.9x	2.1x
Implied Multiples on MS Price Target														
FY26e														
P/E	11.2x	11.5x	19.9x	34.0x	20.9x	25.2x	11.9x	-18.0x	40.8x	49.1x	-0.7x	23.2x	-0.7x	-0.8x
EV/EBIT	10.2x	12.9x	17.5x	13.5x	13.2x	33.5x	9.9x	262.1x	25.4x	23.6x	-20.8x	11.2x	-25.2x	-21.9x
EV/EBITDA	9.8x	12.6x	16.0x	13.0x	12.9x	28.8x	9.6x	193.8x	18.1x	19.1x	-67.3x	10.4x	-27.9x	-70.9x
EV/Sales	2.1x	0.9x	2.1x	2.8x	2.6x	1.3x	1.1x	3.0x	1.9x	1.3x	1.7x	0.8x	3.8x	1.8x
FY27e														
P/E	10.5x	10.2x	13.4x	26.2x	15.4x	9.8x	11.1x	87.2x	25.9x	24.0x	-1.2x	10.4x	-0.9x	-1.2x
EV/EBIT	6.3x	4.6x	2.8x	6.0x	3.6x	7.7x	3.6x	12.4x	5.5x	6.0x	-1.4x	2.2x	-2.9x	-3.7x
EV/EBITDA	6.1x	4.5x	2.6x	5.8x	2.3x	3.3x	2.5x	11.6x	4.1x	4.8x	2.7x	2.0x	-3.5x	7.3x
EV/Sales	1.3x	0.4x	0.3x	1.9x	0.7x	0.2x	1.0x	0.9x	0.5x	0.4x	0.1x	0.2x	0.3x	0.2x

Source: Company data, FactSet, Morgan Stanley Research (E) estimates. Note: Closing prices as of July 16, 2026.

We Upgrade Jinmao to OW

Investment thesis

Above-peer sales growth in accelerating mode: Jinmao has notably outperformed peers in terms of contracted sales, growing 15% y-y in 2025 and 8% y-y in 1H26 (vs. -20% and -16% for the top 100 developers). Considering its abundant new launches in 3Q (11-12 brand new projects in top-tier cities vs. six in 1H), which will meet the low base, we expect its pre-sales growth to accelerate to 15-20% y-y in coming months, potentially leading to mid-teens (%) y-y for full-year 2026. This should be a good near-term catalyst for the stock.

Quality landbank in top-tier cities: Jinmao owns one of the largest landbanks in high-tier cities within our coverage, with ~35% of its unsold saleable resources in Tier 1 cities (mainly Shanghai and Beijing), and ~50% in Tier 2 cities. The company has remained proactive in land replenishment, adding ~Rmb30bn new saleable resources from 12 projects in 1H26, including ~40% in Tier 1 cities and ~60% in Tier 2 cities. We believe these quality projects, together with additional projects to be acquired in the next 6-12 months (management sees a better landbanking window in 2H amid a cooling physical market), could sustain Jinmao's above-peer contracted sales growth in 2027.

Well-recognized product quality: Jinmao has been famous for its good product quality among homebuyers, especially for its high-end to luxury housing projects. Considering that the majority of the homebuyers nowadays are buying for living upgrade, we believe the company's strong brand name could support stronger pricing power and higher sell-through rate. These could lead to above-peer profit margin and asset turnover, thus enhancing its ROE in the medium term.

Improving margin outlook: Legacy high-cost projects may still hamper the margin and earnings recovery of Jinmao's development business in 2026-1H27. However, we believe the increasing contribution of the higher-margin projects in Tier 1 and top Tier 2 cities (high-teens to >20% GPM) acquired in the past two years could lift the development gross margin of the company to 15-17% from 2H27 onward (vs. 13% in 2025 and 14% in 2026E). This could support double-digit (%) earnings growth in 2028 together with strong sales booking.

Morgan Stanley vs. consensus

Compared to Bloomberg consensus, our EPS forecasts are 27% lower for 2026 (mainly reflecting lower disposal gain assumption), 3% lower for 2027, but 20% higher for 2028. We attribute this variance to the underappreciated pre-sales growth of the company, which is reflected in our above-consensus revenue forecast in 2028.

Exhibit 3: Jinmao – Morgan Stanley versus consensus on key forecasts

		Morgan Stanley			Consensus			Variance		
		2026E	2027E	2028E	2026E	2027E	2028E	2026E	2027E	2028E
Revenue	(Rmb mn)	62,689	67,768	78,615	60,175	61,983	64,421	4.2%	9.3%	22.0%
Gross margin	(%)	15.9%	16.5%	17.4%	16.7%	17.0%	17.5%	-0.7%	-0.5%	-0.1%
Core profits	(Rmb mn)	1,051	1,555	2,138	1,442	1,609	1,782	-27.1%	-3.3%	20.0%
EPS	(Rmb)	0.08	0.12	0.16	0.11	0.12	0.13	-27.1%	-3.3%	20.0%

Source: Bloomberg, Morgan Stanley Research (E) estimates

Valuation

We think the stock's current 0.4x P/B has priced in the short-term headwinds to earnings. For the longer term, the current share price implies ~6x our estimated normalized earnings and 6-7% dividend yield, which we think looks attractive given its SOE background, large exposure to Tier 1 cities, and recognized product quality.

Risks

Key downside risks include:

- Slower-than-expected recovery of development margin owing to continued home price declines in secondary market; and
- Weaker-than-expected growth of property sales amid lukewarm macro conditions.

Valuation methodology

Our price target of HK\$1.79 is unchanged: This is our base case value, based on a 35% (unchanged) discount to our estimated NAV of HK\$2.75 (also unchanged). See [Exhibit 4](#).

We arrive at this discount based on our developers' scorecard ([Exhibit 5](#)), which lists the key parameters that we believe are generally of greatest interest to investors in Chinese developers, including landbank (with a 8/10 score), execution (7), scale (7), growth (9), profitability (7), financing (10), and leverage (6). Jinmao's 35% target discount is in the middle of our range for developers.

Our HK\$2.75/share 2026 NAV estimate comprises:

- HK\$2.15/share of development properties;
- HK\$2.02/share of investment properties; and
- HK\$1.42/share of net debt.

Our NAV estimate values the existing landbank and properties based on a sum-of-the-parts methodology:

- We use DCF to value the development properties, with a WACC of 8.2% (unchanged), in the middle of the range of our covered developers, given its relatively low funding costs.
- We use a cap rate approach – cap rates of 5-8% on net operating income (NOI) – to value the investment properties.

Our bull case value of HK\$2.20 is based on a shallower NAV discount of 20% (unchanged).

Our bear case value of HK\$1.10 is based on a deeper NAV discount of 60% (unchanged).

Exhibit 4: Jinmao – NAV breakdown and price target

NAV breakdown (HK\$ mn)		2026E
Residential		28,986
Land		120
Development properties		29,106
Office		15,499
Commercial		4,985
Hotel		6,762
Investment properties		27,246
GAV		56,351
Net debt (perpetual adjusted)		(19,227)
NAV		37,125
End-of-period number of shares (mn)		13,512
NAV per share		2.75
Discount to NAV		35%
Target price		1.79

Source: Company data, Morgan Stanley Research

Exhibit 5: Developer scorecard

Company	Ticker	Landbank	Execution	Scale	Growth	Profitability	Financing	Leverage	Total	NAV Discount	WACC
CR Land	1109 HK	8	8	9	8	8	10	10	61	30%	8.0%
COLI	688 HK	8	8	9	8	7	10	10	60	30%	8.0%
Poly A	600048 CH	8	8	9	7	8	10	8	58	30%	8.3%
CMSK	001979 CH	8	8	9	7	7	10	8	57	35%	8.0%
C&D	1908 HK	8	8	8	8	7	9	8	56	35%	8.2%
Jinmao	817 HK	8	7	7	9	7	10	6	54	35%	8.2%
Yuexiu	123 HK	8	7	7	7	7	10	8	54	35%	8.2%
Greentown	3900 HK	7	7	7	6	6	9	8	50	40%	8.3%
Longfor	960 HK	6	8	6	6	6	8	8	48	35%	8.7%
Gemdale	600383 CH	6	7	6	5	5	8	7	44	35%	8.4%
Seazen A	601155 CH	5	8	5	6	6	7	7	44	40%	9.2%
Seazen H	1030 HK	5	8	5	6	6	7	7	44	40%	9.0%
Vanke A	000002 CH	6	7	8	4	3	7	6	41	30%	9.3%
Vanke H	2202 HK	6	7	8	4	3	7	6	41	40%	9.3%

Source: Morgan Stanley Research

Risk Reward – China Jinmao Holdings Group Ltd (0817.HK)

Strong Sales and Earnings Outlook with Margin Recovery; Attractive Valuation

PRICE TARGET HK\$1.79

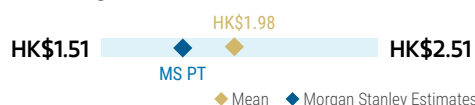
Base case, SOTP-based NAV. Our HK\$2.75/share 2026e NAV comprises:

- HK\$2.15 of development properties (DCF, 8.2% WACC)
- HK\$2.02 of investment properties (cap rate 5-8%)
- HK\$1.42 of net debt.

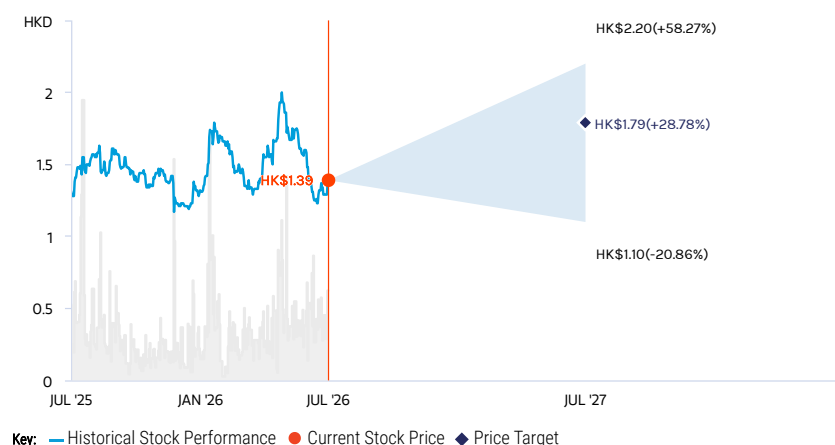
To this, we apply a 35% discount based on our developers' scorecard, comprising landbank (with a 8/10 score), execution (7), scale (7), growth (9), profitability (7), financing (10), and leverage (6). We use 30-40% discounts in our coverage.

Consensus Price Target Distribution

Source: Refinitiv, Morgan Stanley Research



RISK REWARD CHART

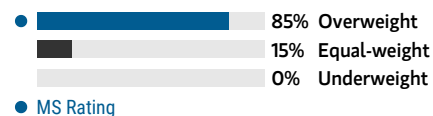


Source: Refinitiv, Morgan Stanley Research

OVERWEIGHT THESIS

- Jinmao owns one of the largest landbanks in tier 1 and 2 cities among peers, providing good visibility on property sales growth.
- The high land cost of its pre-2021 landbank may keep its blended development gross margin at 13-14% in 2026-27, but recent new landbanking could yield mid-teens (%) gross margin starting from 2028.
- Strong parent support should help with refinancing, and we see limited liquidity risk for Jinmao despite its above-peer perpetual-adjusted net gearing ratio.
- We view short-term headwinds to earnings as priced in.
- We see the potential acceleration of property sales in 3Q amid rich new launches and low base could serve as near-term catalysts.

Consensus Rating Distribution



Source: Refinitiv, Morgan Stanley Research

Risk Reward Themes

Contrarian: *Negative*

Secular Growth: *Negative*

View descriptions of Risk Rewards Themes [here](#)

BULL CASE

HK\$2.20

20% discount to bull case 2026e NAV

Meaningful credit and policy relaxation drives property prices higher: Meaningful relaxation to credit (e.g., quotas/interest rates for mortgages and development loans) and property policies (e.g., HPR, down payment requirements, property price caps, presales permit approvals) drives up property demand (especially upgrade and investment demand) and asset prices.

BASE CASE

HK\$1.79

35% discount to base case 2026e NAV

Adequate credit and policy achieve a normalized property market: The central government aims to build a stable property market to support GDP growth but avoid a further property price rally. Recently, some local governments relaxed HPR, down payment ratios, and mortgage rates. Our base case factors in property price declines of 3%, 3%, and 5% y-y from the end-2025 level in tier 1, 2, and lower-tier cities, respectively.

BEAR CASE

HK\$1.10

60% discount to bear case 2026e NAV

Limited credit and policy easing, potentially triggering further defaults of developers: With the property market already cooling, insufficient credit and policy easing worsen the liquidity situation for developers, forcing them to cut prices significantly, which then leads to unfavorable sentiment that freezes transactions.

Risk Reward – China Jinmao Holdings Group Ltd (0817.HK)

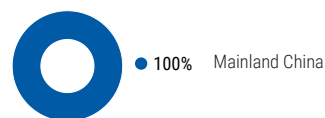
KEY EARNINGS INPUTS

Drivers	Dec 2025	Dec 2026e	Dec 2027e	Dec 2028e
Tier 1 ASP growth (%)	NA	(1.0)	0.0	0.0
Tier 2 ASP growth (%)	NA	(3.0)	0.0	0.0
Lower-tier ASP growth (%)	NA	(5.0)	(3.0)	0.0
Tier 1 commercial properties cap rate (%)	NA	6.0	6.0	6.0
Tier 2 commercial properties cap rate (%)	NA	7.0	7.0	7.0

INVESTMENT DRIVERS

- Property prices in China
- Sell-through rates
- Construction and delivery progress

GLOBAL REVENUE EXPOSURE



Source: Morgan Stanley Research Estimate
View explanation of regional hierarchies [here](#)

RISKS TO PT/RATING

RISKS TO UPSIDE

- Stronger-than-expected contracted sales
- Stronger-than-expected gross margin rebound
- Acquisition of new city operation projects

RISKS TO DOWNSIDE

- Weaker-than-expected contracted sales and revenue booking
- Lower-than-expected gross margin
- Slower-than-expected acquisition of city operation projects

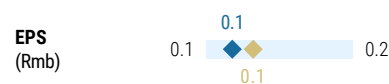
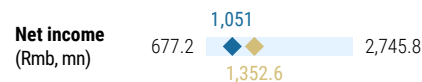
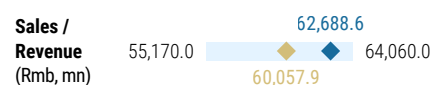
OWNERSHIP POSITIONING

Inst. Owners, % Active 16.8%

Source: Refinitiv, Morgan Stanley Research

MS ESTIMATES VS. CONSENSUS

FY Dec 2026e



◆ Mean ◆ Morgan Stanley Estimates
Source: Refinitiv, Morgan Stanley Research

Risk Reward Reference links

1. View explanation of Options Probabilities methodology - [Options_Probabilities_Exhibit_Link.pdf](#)
2. View descriptions of Risk Rewards Themes - [RR_Themes_Exhibit_Link.pdf](#)
3. View explanation of regional hierarchies - [GEG_Exhibit_Link.pdf](#)
4. View explanation of Theme/Exposure methodology - [ESG_Sustainable_Solutions_External_Link.pdf](#)
5. View explanation of HERS methodology - [ESG_HERS_External_Link.pdf](#)

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(as of June 30, 2026)

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Stock Rating Category	Coverage Universe		Investment Banking Clients (IBC)			Other Material Investment Services Clients (MISC)	
	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
Overweight/Buy	1544	42%	453	49%	29%	757	44%
Equal-weight/Hold	1577	43%	390	42%	25%	769	44%
Not-Rated/Hold	3	0%	1	0%	33%	1	0%
Underweight/Sell	544	15%	89	10%	16%	204	12%
Total	3,668		933			1731	

Data include common stock and ADRs currently assigned ratings. Investment Banking Clients are companies from whom Morgan Stanley received investment banking compensation in the last 12 months. Due to rounding off of decimals, the percentages provided in the "% of total" column may not add up to exactly 100 percent.

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INDUSTRY COVERAGE: China Property

COMPANY (TICKER)	RATING (AS OF)	PRICE* (07/16/2026)
Stephen Cheung, CFA		
C&D International Investment Group Ltd (1908.HK)	O (08/01/2024)	HK\$14.43
China Jinmao Holdings Group Ltd (0817.HK)	O (07/16/2026)	HK\$1.39
China Merchants Shekou Industrial Zone (001979.SZ)	E (05/06/2021)	Rmb6.77
China Overseas Land & Investment Ltd. (0688.HK)	E (01/20/2025)	HK\$13.56
China Resources Land Ltd. (1109.HK)	O (01/02/2019)	HK\$34.62
China Vanke Company Ltd. (2202.HK)	E (11/07/2023)	HK\$2.51
China Vanke Company Ltd. (000002.SZ)	U (11/30/2022)	Rmb3.23
Gemdale Corporation (600383.SS)	U (01/28/2026)	Rmb2.29
Greentown China Holdings (3900.HK)	U (08/26/2025)	HK\$7.33
Longfor Group Holdings Ltd. (0960.HK)	E (05/17/2024)	HK\$6.79
Poly Developments and Holdings Group (600048.SS)	E (05/17/2024)	Rmb4.97
Seazen Group Ltd (1030.HK)	O (01/28/2026)	HK\$1.44
Seazen Holdings Company Ltd. (601155.SS)	O (11/03/2025)	Rmb11.34
Yuexiu Property Co Ltd (0123.HK)	O (09/27/2024)	HK\$3.76

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* Historical prices are not split adjusted.